

Paradiem

The Morning Brief

JUNE 25, 2026

Chip Validation

Micron's \$100B contract book and a \$35B Lockheed THAAD award land before the May PCE print.

S&P 500 (WED)	NASDAQ (WED)	MU AFTER CLOSE	BNO (WED)	FEAR & GREED
\$733.24 · ↓0.05%	\$710.62 · ↓0.42%	\$25.11 EPS vs \$20.49 est · \$100B contract book per release	\$40.74 · ↓4.23% · Brent reportedly lowest since Feb per CNBC	28 · Fear (CNN); drop fell back to Crypto 12

SECTION 01

Markets — Stabilization Tape Into a Micron Validation Print

PER THE DATA DROP, WEDNESDAY CLOSED MIXED AT THE INDEX LEVEL WITH THE S&P 500 PROXY AT \$733.24 (↓0.05%), NASDAQ PROXY AT \$710.62 (↓0.42%), DOW PROXY AT \$518.52 (↑0.37%), AND RUSSELL 2K PROXY AT \$296.69 (↑0.46%) — THE TAPE NOTABLY STABILIZED VERSUS TUESDAY'S ↓3.29% NASDAQ FLUSH, WITH SECTOR BREADTH REPORTEDLY FLIPPING TO A CYCLICALS-AND-DEFENSIVES-TOGETHER PRINT: XLI (INDUSTRIALS) ↑1.16%, XLY (DISCRETIONARY) ↑1.15%, XLU (UTILITIES) ↑1.04%, XLP (STAPLES) ↑0.86%, XLV (HEALTHCARE) ↑0.77%, AND XLB (MATERIALS) ↑0.57% ALL REPORTEDLY CLOSED GREEN AGAINST A MODEST XLK (TECH) ↓0.62%

The Wednesday session reportedly carried the volatility unwind Tuesday's capitulation set up: UVXY closed at \$27.65 (↓1.25% per the data drop) while TLT printed a meaningful \$87.38 (↑1.37% per the data drop, prior close \$86.20) on what reportedly looks like both safety positioning and pre-PCE duration adds. Within the chip cohort, the Tuesday flush reportedly worked through to internal stabilization rather than extension: AMD closed essentially flat at \$519.74 (↓0.02%), TSM rebounded to \$440.83 (↑1.02%), LRCX added ↑0.93% to \$374.80, and NVDA gave back a modest ↓0.52% to \$199.00, while QCOM (↓3.29% to \$197.41), NXPI (↓1.96% to \$294.06), and CRDO (↓1.11% to \$268.99) reportedly carried the residual pressure into the closing bell ahead of the Micron after-close print.

S&P 500 PROXY (WED)	\$733.24 · ↓0.05% · range \$730.84–\$739.95
XLI (WED)	\$180.21 · ↑1.16% · sector–best
XLE (WED)	\$53.57 · ↓1.63% · sector–worst on oil rout
TLT (WED)	\$87.38 · ↑1.37% · pre–PCE duration bid
UVXY (WED)	\$27.65 · ↓1.25% · vol giveback
MU AFTER CLOSE	\$25.11 EPS vs \$20.49 est · \$41.46B rev vs \$35.7B est per Stocktwits/Investing.com
MU STRATEGIC CONTRACTS	16 SCAs · ~\$100B contracted commitments · ~\$22B upfront cash per TechTimes
QCOM AFTER HOURS	Reportedly ~↑11% on Meta partnership + investor day per Yahoo via data drop

AFTER THE CLOSING BELL WEDNESDAY, MICRON TECHNOLOGY REPORTEDLY POSTED THE STRONGEST QUARTERLY PRINT IN COMPANY HISTORY PER YAHOO, INVESTING.COM, THESTREET, AND TECHTIMES COVERAGE — \$41.46 BILLION IN REVENUE AGAINST APPROXIMATELY \$35.7 BILLION CONSENSUS (A REPORTEDLY ~16% BEAT), \$25.11 EPS AGAINST \$20.49 ESTIMATE (A REPORTEDLY ~23% UPSIDE SURPRISE), AND A DISCLOSED SET OF 16 STRATEGIC CUSTOMER AGREEMENTS REPORTEDLY CARRYING APPROXIMATELY \$100 BILLION IN CUMULATIVE MINIMUM REVENUE COMMITMENTS ALONGSIDE APPROXIMATELY \$22 BILLION IN UPFRONT CUSTOMER CASH PER THE CITED COVERAGE — PER TECHTIMES COVERAGE, CEO SANJAY MEHROTRA REPORTEDLY INDICATED ON THE CALL THAT THE FIRM HAS NO VISIBILITY ON WHEN SUPPLY WILL CATCH DEMAND AND THAT NEW FABRICATION FACILITIES REPORTEDLY WILL NOT DELIVER MEANINGFUL OUTPUT UNTIL FISCAL 2028

For FCI's growth backbone, the after-hours print reportedly produced a chip-cohort lift that materially reframes the Tuesday capitulation: per Yahoo coverage cited via the data drop's LRCX news run, QCOM reportedly rallied approximately 11% after hours on a separately-disclosed Meta Platforms partnership and expanded AI roadmap at its investor day, AMAT reportedly added approximately 5.5%, and LRCX re-

portedly added more than 5% — with the broader DRAM/HBM cohort reportedly tracking higher into the Thursday cash open. The structural read is that the Korea HBM4 pace-slowng headline from Tuesday reportedly carried a firm-specific or cycle-positioning component rather than a definitive demand reset, with Micron's contracted-revenue framework reportedly placing the AI memory cycle on take-or-pay foundations through fiscal 2028. **Research Reveals Opportunities.**

THE WEDNESDAY COMMODITIES TAPE REPORTEDLY CRYSTALLIZED THE IRAN DE-ESCALATION AND HAWKISH FED CROSS-CURRENTS INTO A MATERIAL RESET: BNO (BRENT PROXY) REPORTEDLY CLOSED AT \$40.74 (↓4.23%), USO (WTI PROXY) AT \$106.29 (↓4.47%), GLD AT \$365.92 (↓3.02%), AND SLV AT \$51.78 (↓7.09%) PER THE DATA DROP — PER CNBC COVERAGE, BRENT CRUDE REPORTEDLY FELL BELOW \$74 A BARREL WEDNESDAY, ITS LOWEST REPORTEDLY SINCE LATE FEBRUARY, WHILE PER BLOOMBERG COVERAGE CITED VIA THE CITED SOURCES, TANKER TRAFFIC THROUGH THE STRAIT OF HORMUZ REPORTEDLY INCREASED WITH TRACKING SIGNALS RETURNING ON AS A TEMPORARY U.S. WAIVER REPORTEDLY PERMITTED PURCHASES OF ALREADY-LOADED IRANIAN CRUDE

For FCI's energy sleeve, the equity-level give-back was material relative to recent equity-over-crude holdouts: CVX closed at \$171.45 (↓2.57%), DVN at \$42.74 (↓1.50%), VLO at \$242.43 (↓0.51%), and OKE at \$87.31 (↓0.85%) per the data drop, with the XLE sector ETF at \$53.57 (↓1.63%) reportedly the worst-performing sector. The dividend sleeve absorbed the rotation with TOL leading at \$161.03 (↑6.67%) per the data drop after Yahoo coverage reportedly flagged homebuilder strength on rate-cut hopes ahead of PCE; GPC followed at \$110.73 (↑4.00%) on a fresh DA Davidson Buy initiation citing spin-off and cost-cutting potential per Yahoo, and DGX added ↑3.01% to \$203.11 after New York State approval for its Haystack MRD liquid-biopsy test per Quest's release cited via Yahoo. **The physical world matters.**

A stabilization tape opens the door to Micron's \$100B contract framework as the May PCE print arrives at 8:30 ET. Avoid Erosion.

Geopolitics — THAAD Quadruples, Hormuz Reopens, Trump Defies the Rebuke

PER LOCKHEED MARTIN'S OWN PRESS RELEASE, BLOOMBERG, DEFENSE DAILY, BREAKING DEFENSE, AND DEFENCE INDUSTRY EUROPE COVERAGE, THE U.S. GOVERNMENT REPORTEDLY AWARDED LOCKHEED MARTIN A SEVEN-YEAR UNDEFINITIZED CONTRACT ACTION WORTH UP TO \$35 BILLION WEDNESDAY JUNE 24 TO QUADRUPLE PRODUCTION OF TERMINAL HIGH ALTITUDE AREA DEFENSE (THAAD) INTERCEPTORS FROM A REPORTEDLY CURRENT PACE OF APPROXIMATELY 96 MISSILES PER YEAR TO AN ANNUAL RATE OF APPROXIMATELY 400 INTERCEPTORS — PER THE CITED COVERAGE, THE AWARD REPORTEDLY ACTIVATES THE THAAD FRAMEWORK AGREEMENT SIGNED IN JANUARY BETWEEN THE DEPARTMENT OF WAR AND LOCKHEED MARTIN, WITH WORK REPORTEDLY PERFORMED IN DALLAS, TEXAS, SUNNYVALE, CALIFORNIA, TROY, ALABAMA, AND CAMDEN, ARKANSAS

For FCI's defense sleeve, the Wednesday session reportedly traded the headline before the formal award notice carried full weight: LMT closed at \$491.64 (↓2.39%) and GD at \$344.32 (↓1.72%) per the data drop, extending the peace-deal reciprocal drawdown alongside what reportedly looks like profit-taking ahead of the framework-agreement activation. The structural read for the dividend sleeve is that the multiyear procurement framework reportedly de-risks the THAAD revenue ramp through approximately fiscal 2033 and stands as one of the first major multiyear procurements executed under the Department of War's Acquisition Transformation Strategy per Defence Industry Europe coverage. The supplemental funding pipeline (approximately \$80 billion per WSJ via Reuters from prior coverage) reportedly continues to layer on top of this framework. **Think Like an Owner.**

PER THE DATA DROP'S HEADLINE RUN CITING REUTERS, PRESIDENT TRUMP REPORTEDLY ASKED CONGRESS FOR ADDITIONAL FUNDS TO FIGHT IRAN WEDNESDAY, DEFYING THE TUESDAY SENATE WAR POWERS REBUKE — PER THE SAME HEADLINE RUN, SECRETARY OF STATE RUBIO REPORTEDLY VISITED SAUDI ARABIA SEEKING GULF BACKING FOR THE IRAN DEAL AS PART OF THE UAE-KUWAIT-BAHRAIN TOUR RUNNING JUNE 23–25 PER AL JAZEERA COVERAGE — PER CNBC AND BLOOMBERG COVERAGE, THE STRAIT OF HORMUZ REPORTEDLY SAW TANKER TRAFFIC RESUME WITH TRACKING SIGNALS RETURNING ON, DRIVING BRENT CRUDE REPORTEDLY BELOW \$74/BARREL WEDNESDAY FOR THE FIRST TIME REPORTEDLY SINCE LATE FEBRUARY

The energy and defense tracks reportedly read as parallel reciprocal trades on the same de-escalation thesis: BNO ↓4.23% and USO ↓4.47% on the supply-resumption read per the data drop, while LMT ↓2.39% and GD ↓1.72% on the diplomacy-progress read — the THAAD award and the additional-funds request reportedly arrive as the parallel hedge against the soft scenario, framing the supplemental-funding pipeline as policy-continuous regardless of the Senate vote outcome. Per Reuters cited via the data drop, Vice President Vance reportedly indicated a review is underway on how Turkey can access F-35 fighter jets — an adjacent NATO

realignment variable that reportedly extends the defense thesis beyond the immediate Iran track. For FCI's position-symmetric framework, the operative read is that the cohort reportedly continues to absorb both the diplomatic and the policy variables without thesis disruption. **The physical world matters.**

LMT THAAD AWARD	Up to \$35B / 7 years per LMT release · production from ~96/yr to ~400/yr
LMT (WED CLOSE)	\$491.64 · ↓2.39% · traded ahead of formal notice
TRUMP IRAN FUNDS REQUEST	Reportedly defies Senate war powers rebuke per Reuters
RUBIO SAUDI ARABIA STOP	Reportedly seeking Gulf backing for deal per Reuters/Al Jazeera
HORMUZ TANKER TRAFFIC	Reportedly resuming with tracking on per Bloomberg/CNBC
BRENT CRUDE	Reportedly <\$74/bbl · lowest reportedly since late February per CNBC
TURKEY F-35	Review reportedly underway per Vance via Reuters

On Our Radar

1. May PCE Lands Today Thursday June 25 at 8:30 AM ET per the BEA Personal Income and Outlays Release Calendar — The Primary Inflation Cross-Asset Event of the Week, Now Layered Against Both the Tuesday Hawkish Bank of America Reset and the Wednesday Micron Validation Print. Per Morningstar preview coverage, the May PCE deflator is reportedly forecast to rise approximately 0.5% month-over-month after ↑0.4% in April, with core PCE reportedly forecast at approximately ↑0.37% month-over-month after ↑0.24% in April; the headline year-over-year is reportedly forecast at approximately 4.1%, well above the Fed's 2% target. Per Investing.com coverage cited via search results, the same 8:30 ET window reportedly delivers final Q1 GDP (consensus approximately 1.6%), initial jobless claims (consensus approximately 225K), and advance May durable goods (consensus approximately ↑0.2%). Per CME FedWatch and Reuters via Investing.com, fed-funds futures reportedly imply approximately 72.8% probability of a September hike, 80.6% for October, and 87.9% for December under the BofA framework. With TLT reportedly bid at \$87.38 (↑1.37% per the data drop) into the print, the long end's pre-positioning carries elevated reaction weight on either tail. *Avoid Erosion.*

2. The Chip-Cohort After-Hours Rebound Reportedly Carries Materially Into the Thursday Cash Open per Yahoo and Investing.com Coverage Cited Via the Data Drop — QCOM Reportedly Rallied Approximately 11% After Hours on a Disclosed Meta Platforms Partnership and Expanded AI Roadmap at Its Investor Day, AMAT Reportedly Added Approximately 5.5%, and LRCX Reportedly Added More Than 5% Following Micron's \$41.46B Revenue and \$25.11 EPS Print — the Composite Reportedly Sets up a Constructive Configuration Versus the Tuesday Sharp Asian Memory Sell-Off. For FCI's growth backbone (QCOM \$197.41, NVDA \$199.00, MRVL \$276.70, AMD \$519.74, NXPI \$294.06, ADI \$413.16, LRCX \$374.80, TSM \$440.83, KEYS \$351.30, CRDO \$268.99, TEL \$198.55 per the data drop's Wednesday close), the after-hours print reportedly reframes the entire memory cycle on Mehrotra's reported no-supply-line-of-sight-until-FY2028 commentary cited via TechTimes. The structural read is that the Korea HBM4 pace-slowng headline reportedly resolves as a positioning-and-mix dimension rather than a definitive cycle-end — the contracted-revenue framework reportedly carries through. *Research Reveals Opportunities.*

3. The Wednesday Oil Reset Reportedly Carries Material Implications for FCI's Energy Sleeve — BNO ↓4.23% to \$40.74, USO ↓4.47% to \$106.29, and XLE ↓1.63% per the Data Drop — With Brent Reportedly Below \$74/Barrel per CNBC Coverage on the Strait of Hormuz Tanker-Traffic Resumption and the Temporary U.S. Waiver on Already-Loaded Iranian Crude per Bloomberg Cited Via the Reporting. CVX closed at \$171.45 (↓2.57%), DVN at \$42.74 (↓1.50%), VLO at \$242.43 (↓0.51%), and OKE at \$87.31 (↓0.85%) per the data drop. Per Yahoo coverage cited via the data drop's CL news run, J.P. Morgan reportedly cut its second-half 2026 Brent oil price forecast on the de-escalation read. For the sleeve's longer-cycle gas-infrastructure thesis, the operative read is that the Chevron-Microsoft Project Kilby framework (referenced in Monday's brief) carries 20-year contracted gas-power cash flows independent of the spot crude tape. *Simplicity Over Complexity.*

4. The Wednesday LMT Drawdown to \$491.64 (↓2.39%) Reportedly Set up Against an Up-to-\$35 Billion THAAD Multiyear Procurement Award Per the Lockheed Martin Release — The Award Reportedly Quadruples Interceptor Production From a Reported Approximately 96 Annual Units to Approximately 400 per Bloomberg, Defense Daily, and Breaking Defense Coverage, and Activates the January Framework Agreement Between the Department of War and Lockheed. For FCI's defense sleeve, the asymmetry between the equity-level close and the disclosed award reportedly frames a constructive risk/reward configuration into the Thursday open, particularly if the formal contract notice and supplemental color land in pre-market. Per the data drop's LMT news run, Yahoo coverage reportedly framed the deal alongside expanded counter-drone partnerships, while the prior brief's reference to defense ETFs being backed by record contract backlogs carries through. *Think Like an Owner.*

5. The Digital Sleeve Reportedly Extended the Risk-Off Wednesday per the Data Drop — IBIT Closed at \$33.87 (↓4.08%), ETHA at \$11.92 (↓4.79%), COIN at \$150.11 (↓5.10%), and HOOD at \$97.19 (↓5.87%); MARA ↓4.76% to \$14.00 and HUT ↓3.66% to \$116.10 — The Cohort Reportedly Carried Through the Hawkish-Fed/Dollar Bid Even as the Chip Sleeve Stabilized. Per the data drop's COIN news run, Yahoo coverage reportedly indicated Coinbase established an EU-wide MiCA crypto hub in Luxembourg ahead of Binance's regulatory deadline — a structural product-cadence variable that reportedly extends the cohort thesis beyond the day's tape. Per the data drop's ETHA news run, Benzinga coverage reportedly framed Solana ETF staking yields as a parallel product evolution. For HOOD, COIN, and the broader digital-rails framework, the

operative read is that the cohort's funding capacity (HOOD's reported \$2B zero-coupon convertible from the prior brief) reportedly carries through the macro tape. *Research Reveals Opportunities.*

6. Carson's Active SPY \$645.80 Support Remains Materially Untouched Through Wednesday's Close. The S&P 500 proxy Wednesday intraday range (\$730.84–\$739.95 per the data drop) closed at \$733.24 (↓0.05%) and reportedly carried well above Carson's framework. Per public coverage of CNN's Fear & Greed feed, the most recent stock-market reading reportedly registered approximately 28 ("Fear") on the June 24 print — reportedly unchanged from the prior brief's reference. The data drop's F&G fell back to the crypto index at 12 ("Extreme Fear") per the workflow note, reportedly a five-point further decline from yesterday's drop reading of 17 on the crypto reference. The position-symmetric framework reportedly remains anchored on Carson's level through the May PCE print Thursday morning and the chip-cohort reversal setup tied to Micron's validated framework. *Simplicity Over Complexity.*